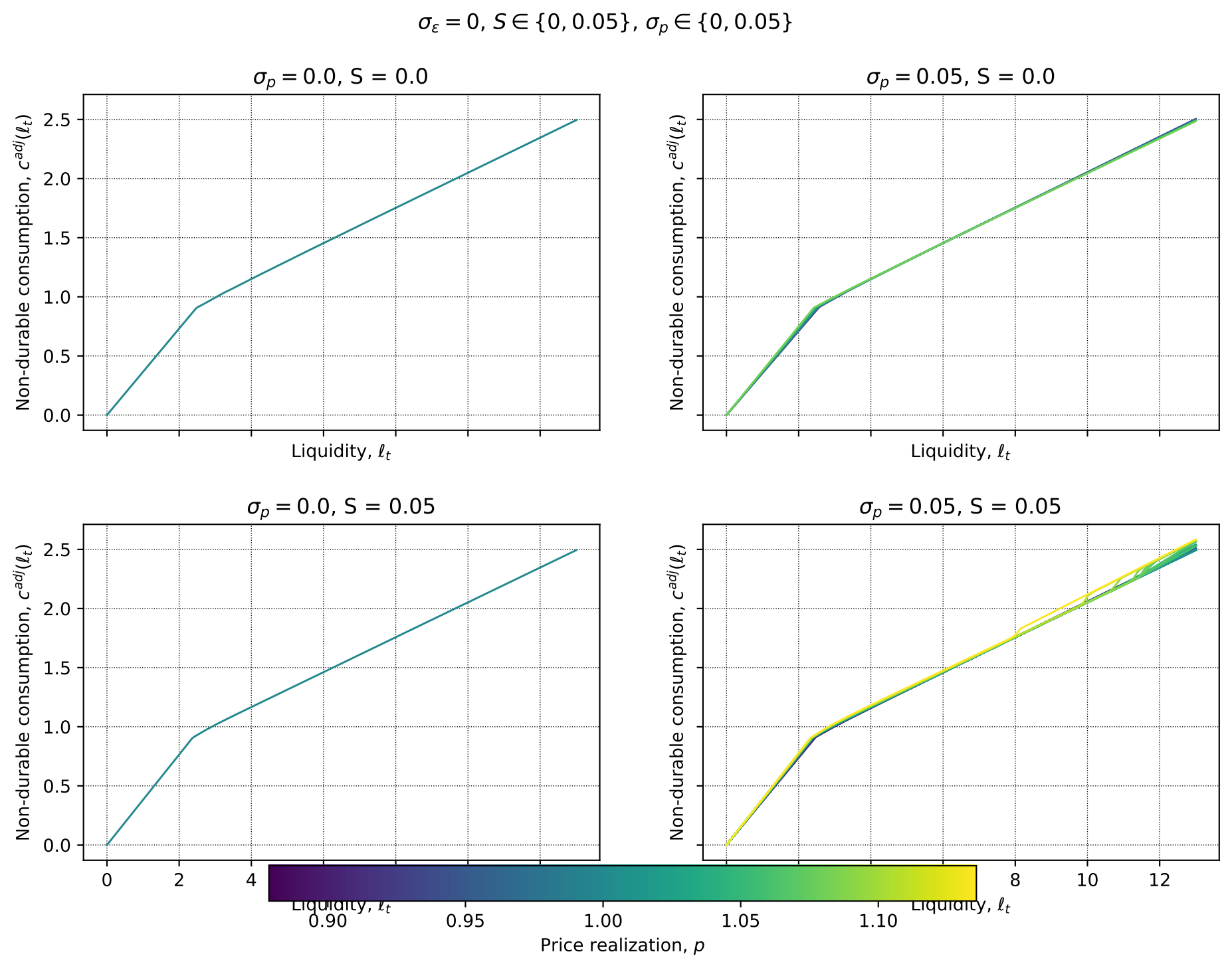
$\sigma_\varepsilon = 0$, $S \in \{0, 0.05\}$, $\sigma_p \in \{0, 0.05\}$
$\sigma_p = 0.0$, S = 0.0
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$\sigma_p = 0.05$, S = 0.05
Non-durable consumption, $c^{adj}(\ell_t)$
Liquidity, ℓ_t
0.0
0.5
1.0
1.5
2.0
2.5
0
2
4
8
10
12
0.90
0.95
1.00
1.05
1.10
Price realization, p